

for the family business.

5. *Don't wait too long to pass on ownership and responsibility.*

One patriarch was entering his 80s and slowing down. He had hesitated for years to turn his business over to his only daughter. But he knew she'd have to take over.

He called her into his office to promote her to president. He was shocked when she replied, "Daddy, I'm 65 years old next week and scheduled for retirement. Maybe one of the grandkids might be interested, but one's a doctor and the other's a musician. I doubt they're interested in giving up their professional careers."

6. *Help your children choose the right spouses.*

It's a politically incorrect topic. But problematic spouses can tear a family apart. You want to engage family members as much as possible in family affairs, family plans, and family finances. If the children have a sense of what the family is and what it is trying to do, it will help them choose spouses that can help them.

7. *Make sure the family shares the vision of the succession plan.*

Succession plans have to be based on the shared vision of your family, not simply by the decree of the patriarch.

In summary, it's the job of the matriarch to strengthen the family, while the patriarch builds the wealth. There are certainly other ways to do it. But this division-of-labor model has been used by the majority of successful families for hundreds of years.

The family needs to be prepared to make collective decisions to effectively manage the family wealth after the matriarch and patriarch are gone. You can't replace them. But the family will need to replace their leadership roles. The next generation needs money leadership, as well as family leadership.

Everybody knows that you have to have a person in charge of wealth creation and protection. But the chief emotional officer is much less obvious. And a much harder role to fill.

The point of succession is typically when there is the most emotional strain. The family should orchestrate a succession long before the matriarch and patriarch are out of the picture. That way, they can help make sure it happens without a blowup. And if the CEO role is